

FINTAGS INTERNATIONAL PTE. LIMITED
UEN No. 202135085E
(Incorporated in the Republic of Singapore)

UNAUDITED FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023
(SGD Currency)

FINTAGS INTERNATIONAL PTE. LIMITED
(Incorporated in the Republic of Singapore)
(UEN No.: 202135085E)

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DIRECTORS' STATEMENT

The directors are pleased to present their statement to the members together with the financial statements of the Company for the financial year ended 31 December 2023.

1. OPINION OF THE DIRECTORS

In the opinion of the Directors,

1. the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 December 2023, and the financial performance, changes in equity and cash flows of the Company for the year then ended; and
2. at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

2. DIRECTORS

The directors of the Company in office at the date of this statement are:

Santhosh Wilson
Dominic Savio Selvaraj
Wai Ke Li, Serene

3. ARRANGEMENTS TO ENABLE DIRECTORS TO ACQUIRE SHARES AND DEBENTURES

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the directors of the Company to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate.

4. DIRECTORS' INTEREST IN SHARES OR DEBENTURES

According to the register of directors' shareholdings kept by the Company under Section 164 of the Singapore Companies Act, Chapter 50, none of the directors of the Company holding office at the end of the financial year had any interest in the shares or debentures of the Company.

<u>Name of Directors</u>	Number of Ordinary Shares	
	<u>Direct Interest</u>	
	<u>At the date of incorporation</u>	<u>At the end of financial year</u>
Santhosh Wilson	-	50
Dominic Savio Selvaraj	-	50
	-	100

5. DIRECTORS' CONTRACTUAL BENEFITS

Except as disclosed in this financial statement, no director has received or become entitled to receive a benefit by reason of a contract made by the Company or a related Corporation with the director, or with a firm of which the director is a member, or with a Company in which the director has substantial financial interest.

6. SHARE OPTIONS

There were no options granted during the financial year to subscribe for unissued shares of the Company.

No shares have been issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial year.

On behalf of the Board of Directors

Santhosh Wilson
Director

Dominic Savio Selvaraj
Director

Singapore

Date: 09 June 2024

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2023

	Note	<u>2023</u> SGD	<u>2022</u> SGD
ASSETS			
Current assets			
Cash and cash equivalents	4	9,352	1,505
Amount due from related party	5	17,685	17,685
Trade receivables	6	<u>3,110</u>	<u>-</u>
Total current assets		<u>30,147</u>	<u>19,190</u>
Total Assets		<u>30,147</u>	<u>19,190</u>
EQUITY AND LIABILITIES			
Current liabilities			
Other payables	7	2,350	2,020
Amount due to director	8	2,810	2,810
Provision for tax		<u>482</u>	<u>725</u>
Total liabilities		<u>5,642</u>	<u>5,555</u>
Equity			
Share capital	9	100	100
Retained earnings		<u>24,405</u>	<u>13,535</u>
Total equity		<u>24,505</u>	<u>13,635</u>
Total Equity and Liabilities		<u>30,147</u>	<u>19,190</u>

The accompanying notes form an integral part of these financial statements.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

	Note	<u>2023</u> SGD	<u>2022</u> SGD
Revenue	10	48,174	22,913
Cost of sales		-	(100)
Other expenses		<u>(36,822)</u>	<u>(5,753)</u>
Profit/(Loss) before taxation		11,352	17,060
Income tax expense	11	<u>(482)</u>	<u>(725)</u>
Profit/(Loss) for the year, representing total comprehensive income/(loss) for the year		<u><u>10,870</u></u>	<u><u>16,335</u></u>

The accompanying notes form an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

	Share Capital	Retained Earnings	Total Equity
	SGD	SGD	SGD
At 01 January 2022	100	(2,800)	(2,700)
Total comprehensive income for the year	-	16,335	16,335
At 31 December 2022	100	13,535	13,635
At 01 January 2023	100	13,535	13,635
Total comprehensive income for the year	-	10,870	10,870
At 31 December 2023	100	24,405	24,505

The accompanying notes form an integral part of these financial statements.

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

	<u>2023</u>	<u>2022</u>
	SGD	SGD
Cash flows from operating activities		
Profit(Loss) before income tax	11,352	17,060
Operating loss before working capital changes	11,352	17,060
Increase in amount due from related party	-	(17,685)
Decrease in trade receivables	(3,110)	-
Increase in other payables	330	2,020
Increase in amount due to director	-	110
Cash Flows From (Used In) Operations	8,572	1,505
Income Tax Paid	(725)	-
Net cash generated used in operating activities	7,847	1,505
Cash flows from financing activities		
Proceed from issuance of share	-	-
Net cash used in financing activities	-	-
Net increase/(decrease) in cash and cash equivalents	7,847	1,505
Cash and cash equivalents at the beginning of the financial year/period	1,505	-
Cash and cash equivalents at 31 December	4 9,352	1,505

The accompanying notes form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

Fintags International Pte. Ltd. ("The Company") is incorporated and domiciled in Singapore. The registered office is located at 111 Somerset Road #08-10A, 111 Somerset, Singapore 238164.

The principal activities of the Company are bookkeeping services and software development.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

2.1 Basis of Preparation

The financial statements have been prepared in accordance with provisions of the Singapore Companies Act and Singapore Financial Reporting Standards (FRS). The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Singapore Dollars (SGD or S\$) and all values are rounded to the nearest one dollar.

2.2 Adoption of New and Revised Standards

The accounting policies adopted are consistent with those of the previous financial year except that in the current financial year, the Company has adopted all the new and amended standards which are relevant to the Company and are effective for annual financial periods beginning on or after 1 January 2023. The adoption of these new or revised FRSs and INT FRSs did not result in changes to the Company's accounting policies and had no material effect on the amounts reported for the current period

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

2.3 Standards Issued But Not Yet Effective

At the reporting date, the following new/revised/amendments to FRSS, INT FRSS and amendments to FRS that are relevant to the Company were issued but not effective:

Description	Effective for annual periods beginning on or after
Amendments to FRS 1 <i>Presentation of Financial Statements</i> : Classification of Liabilities as Current or Non-current	1 January 2023
Amendments to FRS 1 <i>Presentation of Financial Statements</i> : And FRS Practice Statement 2: Disclosure of Accounting Policies	1 January 2023
Amendments to FRS 8 <i>Accounting Policies, Changes in Accounting Estimates and Errors</i> : Definition of Accounting Estimates	1 January 2023
Amendments to FRS 12 <i>Income Taxes</i> : Deferred Tax related to Assets and Liabilities arising from a Single Transaction	1 January 2023

The directors expect that the adoption of the standards above will have no material impact on the financial statements in the year of initial application.

2.4 Functional and Presentation Currency

The financial statements are presented in Singapore Dollars, which is the currency of the primary economic environment in which the entity operates, i.e. the functional currency. The directors are of opinion that the Singapore Dollars reflects the economic substance of the underlying events and circumstances relevant to the Company.

Foreign Currency Transactions

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the closing rate of exchange ruling at the reporting date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the transaction dates. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the reporting date are recognized in profit or loss.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

2.5 Financial Assets

Initial recognition and measurement

Financial assets are recognized on the Statement of financial position when, and only when the entity becomes party to contractual provisions of the instruments.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of a third party, if the trade receivables do not contain a significant financing component at initial recognition.

Derecognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

2.6 Cash and Cash Equivalents

Cash and cash equivalents comprise cash at banks and on hand which are subject to an insignificant risk of changes in value. These also include bank overdrafts that form an integral part of the Company's cash management.

2.7 Impairment of Financial Assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss and financial guarantee contracts. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposure for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

2.7 Impairment of Financial Assets (Cont'd)

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment which could affect debtors' ability to pay.

The Company considers a financial asset in default when contractual payments are 60 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

2.8 Impairment of Non-Financial Assets

The carrying amounts of the Company's non-financial assets including property, plant and equipment, intangible assets, investment properties carried at cost, investment in subsidiaries, associates and joint ventures are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, or when annual impairment assessment for an asset is required for example for intangible assets with indefinite lives, the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is assessed based on the higher of its fair value less costs to sell or its value in use as considered appropriate and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets. In assessing value in use, the estimated future cash flows expected to be generated by the asset are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. Impairment losses of continuing operations are recognized in profit or loss as 'impairment losses' except for assets that were previously revalued where therevaluation was taken to other comprehensive income. In this case the impairment is also recognized in other comprehensive income up to the amount of any previous revaluation.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. An impairment loss is only reversed if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized and to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. All reversals of impairment are recognized in profit or loss unless the asset is carried at revalued amount, in which case the reversal in excess of impairment loss previously recognized through profit or loss is treated as a revaluation increase.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

2.9 Financial Liabilities

Initial recognition and measurement

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at fair value through profit or loss, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities that are not carried at fair value through profit or loss are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss.

2.10 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

2.11 Borrowing costs

Borrowing costs are recognized in profit or loss using the effective interest rate method except for those borrowing costs that are capitalized if they are directly attributable to the acquisition, construction or production of a qualifying asset. The Company begins capitalizing borrowing costs as part of the cost of a qualifying asset on the commencement date. The commencement date for capitalization is the date when the Company first meets all of the following conditions:

- (i) it incurs expenditures for the asset;
- (ii) it incurs borrowing costs; and
- (iii) it undertakes activities that are necessary to prepare the asset for its intended use or sale.

The Company ceases capitalizing borrowing costs when substantially all the activities necessary to prepare the qualifying asset for its intended use or sale are complete.

2.12 Revenue

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

2.13 Taxes

(a) Current tax

Current tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

2.13 Taxes (Cont'd)

(b) Deferred Tax

Deferred income tax is recognized on all temporary differences which are the differences between the carrying amount of an asset or liability in the statement of financial position and its tax base except when the deferred income tax arises from the initial recognition of an asset or liability that affects neither accounting nor taxable profit or loss at the time of the transaction.

Deferred tax liabilities are recognized for all taxable temporary differences; and deferred tax assets are recognized for all deductible temporary differences, the carry forward of unused tax credits and unused tax losses, to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax credits and unused tax losses can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient future taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

2.14 Related Party

A related party is a person or entity that is related to the Company and includes:

- (a) A person or a close member of that person's family which is related to a reporting entity if that person:
 - i. has control or joint control over the reporting entity;
 - ii. has significant influence over the reporting entity; or
 - iii. is a member of the key management personnel of the reporting entity or of a parent of the reporting entity.
- (b) An entity which is related to a reporting entity if any of the following condition applies:
 - i. The entity and the reporting entity are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others).
 - ii. One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member).
 - iii. Both entities are joint ventures of the same third party.
 - iv. One entity is a joint venture of a third entity and the other entity is an associate of the third party.
 - v. The entity is a post-employment benefit plan for the benefit of employees of either the reporting entity or any related to the reporting entity. If the reporting entity is itself such a plan, the sponsoring employers are also related to the reporting entity.
 - vi. The entity is controlled or jointly controlled by a person identified in (a).
 - vii. A person identified in (a)(i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity).

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

2.15 Share capital

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES

The preparation of the financial statements requires management to exercise judgements and requires the use of estimates and assumptions. These judgements affect the application of the Company's accounting policies. The use of estimates and assumptions affect the reported amounts of assets, liabilities, income and expenses and disclosures made. They are assessed on an on-going basis and are based on experience and other relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

3.1 Judgements made in applying accounting policies

In the process of applying the Company's accounting policies, management has made the following judgements, apart from those involving estimations, which has the most significant effect on the amounts recognized in the financial statements:

Determination of functional currency

Foreign currency transactions are measured in the functional currency of the Company. In determining the functional currency of the Company, judgment is required to determine the currency that mainly influences sale prices for goods and services and of the country whose competitive forces and regulations mainly determines the sales prices of its goods and services.

The functional currency of the Company is determined based on management's assessment of the economic environment in which it operates and the process of determining sales prices.

3.2 Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

Impairment of loans and receivables

The Company assesses at each reporting date whether there is any objective evidence that a financial asset is impaired. To determine whether there is objective evidence of impairment, the Company considers factors such as the probability of insolvency or significant financial difficulties of the debtor and default or significant delay in payments.

Where there is objective evidence of impairment, the amount and timing of future cash flows are estimated based on historical loss experience for assets with similar credit risk characteristics.

4. CASH AND CASH EQUIVALENTS

	<u>2023</u> SGD	<u>2022</u> SGD
Cash at bank	<u>9,352</u>	<u>1,505</u>

5. AMOUNT DUE FROM RELATED PARTY

	<u>2023</u> SGD	<u>2022</u> SGD
Amount due from related party	<u>17,685</u>	<u>17,685</u>

6. TRADE RECEIVABLES

	<u>2023</u> SGD	<u>2022</u> SGD
Trade Receivables	<u>3,110</u>	<u>-</u>

7. OTHER PAYABLES

	<u>2023</u> SGD	<u>2022</u> SGD
Accruals	<u>2,350</u>	<u>2,020</u>

8. AMOUNT DUE TO DIRECTOR

	<u>2023</u> SGD	<u>2022</u> SGD
Amount due to director	<u>2,810</u>	<u>2,810</u>

9. SHARE CAPITAL

	<u>2023</u>		<u>2022</u>	
	<u>No of shares</u>	<u>SGD</u>	<u>No of shares</u>	<u>SGD</u>
<i>Ordinary Shares</i>				
At date of incorporation	-	-	-	-
At the beginning of the financial year	100	100	-	-
Issued during the financial year	-	-	100	100
At the end of the financial year	<u>100</u>	<u>100</u>	<u>100</u>	<u>100</u>

10. REVENUE

	<u>2023</u>	<u>2022</u>
	<u>SGD</u>	<u>SGD</u>
XBRL Tagging Service	<u>48,174</u>	<u>22,913</u>

11. INCOME TAX

(a) Current Taxation

	<u>2023</u>	<u>2022</u>
	SGD	SGD
<i>Current tax liabilities</i>		
At the date of incorporation	-	-
Current year provision	482	725
At the end of financial year	<u>482</u>	<u>725</u>

(b) Income Tax Expense / (Benefit)

	<u>2023</u>	<u>2022</u>
	SGD	SGD
<i>Current tax expense</i>		
Current year	<u>482</u>	<u>725</u>

The reconciliation of the taxation and the product of accounting profit multiplied by the applicable tax rate as follows:

	<u>2023</u>	<u>2022</u>
	SGD	SGD
Profit/(Loss) before tax	<u>11,352</u>	<u>17,060</u>
Tax calculated using corporate tax rate of 17%	1,930	2,900
<u>Tax effect of:</u>		
Tax exemption	(1,448)	(2,175)
Deferred tax assets not recognised	<u>-</u>	<u>-</u>
	<u>482</u>	<u>725</u>



12. FINANCIAL RISK MANAGEMENT

Risk management is integral to the whole business of the Company. The Company has a system of controls in place to create an acceptable balance between the cost of risks occurring and the cost of managing the risk. The management continually monitors the Company's risk management process to ensure that an appropriate balance between risk and control is achieved. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities. The main risks faced by the Company are credit, interest rate, liquidity, foreign currency and market price risks that arise in the normal course of business.

12.1 Credit risks

Credit risks refers to the risk that the counterparties will default on its contractual obligations resulting in a loss to the Company. The Company's exposure to credit risk arises primarily from trade and other receivables.

For other financial assets (including investment securities and cash), the Company minimises credit risk by dealing exclusively with high credit rating counterparties.

The Company has adopted a policy of only dealing with creditworthy counterparties. The Company performs ongoing credit evaluation of its counterparties' financial condition and generally do not require a collateral. The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period.

The Company has determined the default event on a financial asset to be when internal and/or external information indicates that the financial asset is unlikely to be received which could include default contractual payments due for more than 60 days, default of interest due for more than 30 days or there is significant difficulty of the counterparty.

To minimise credit risk, the Company has developed and maintained the Company's credit risk gradings to categorise exposures according to their degree of risk of default. The credit rating information is supplied by publicly available financial information and the Company's own trading records to rate its major customers and other debtors. The Company considers available reasonable and supportive forward-looking information which includes the following indicators:

- Internal credit rating
- External credit rating
- Actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause significant change to the debtor's ability to meet its obligations
- Actual or expected significant changes in the operating results of the debtor
- Significant increases in credit risk on other financial instruments of the same debtor
- Significant changes in the expected performance and behaviour of the debtor, including changes in the payment status of debtors in the group and changes in the results of the debtor.

12. FINANCIAL RISK MANAGEMENT (CONT'D)

12.1 Credit risks (Cont'd)

Regardless of the analysis above, a significant increase in credit risk is presumed if a debtor is more than 30 days past due in making contractual payment.

The Company determined that its financial assets are credit-impaired when:

- There is significant difficulty of the debtor
- A breach of contract, such as default or past due event
- It is becoming probable that the debtor will enter bankruptcy or other financial reorganisation
- There is a disappearance of an active market for that financial asset because of financial difficulty

The Company categorises a receivable for potential write-off when a debtor fails to make contractual payments more than 120 days past due. Financial assets are written off when there is evidence indicating that the debtor is in severe financial difficulty and the debtor has no realistic prospect of recovery.

Other receivables and loan to the related party

The Company assessed the latest performance and financial position of the counterparties, adjusted for the future outlook of the industry in which the counterparties operate in, and concluded that there has been no significant increase in the credit risk since the initial recognition of the financial assets. Accordingly, the Company measured the impairment loss allowance using 12-month ECL and determined that the ECL is insignificant.

12.2 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of the Company's financial instruments will fluctuate because of changes in interest rates. The Company's exposure to interest rate risk arises primarily from bank borrowings, lease commitments and cash deposits placed with financial institutions.

The Company does not hedge its investment in fixed rate debt securities as they have active secondary or resale markets to ensure liquidity.

12.3 Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting financial obligations due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities.

The Company's financing activities are managed by maintaining an adequate level of cash and cash equivalents to finance the Company's operations. Bank borrowings are a preferred source of financing to ensure continuity of funding. The Company also ensures availability of bank credit lines to address any short-term funding requirements.

The Company's surplus funds are also managed centrally by placing them with reputable financial institutions on varying maturities.

13. FAIR VALUE OF FINANCIAL INSTRUMENTS

The fair value of a financial instrument is the amount at which the instrument could be exchanged or settled between knowledgeable and willing parties in an arm's length transaction, other than in a forced or liquidation sale.

The following methods and assumptions are used to estimate the fair value of each class of financial instruments for which it is practicable to estimate that value.

Cash and cash equivalents, trade and other receivables, trade and other payables

The carrying amounts of these balances approximate their fair values due to the short-term nature of these balances.

Loan and borrowing

The fair value of variable rate loan and borrowing approximate their carrying amounts. The fair value of fixed rate loan and borrowing is estimated as the present value of future cash flows discounted at current interest rate for similar instruments at the reporting date.

Amount due with related parties

The carrying amounts of these balances approximate their fair values due to the amount are repayable on demand.

14. AUTHORISATION OF FINANCIAL STATEMENTS FOR ISSUE

The financial statements for the financial year ended 31 December 2023 were authorised for issue in accordance with a resolution of the Board of Directors of the Company on the date of the financial statements.

SUPPLEMENTARY STATEMENT
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

	<u>2023</u> SGD	<u>2022</u> SGD
Revenue		
XBRL tagging services	48,174	22,913
<u>Less: Cost of sales</u>		
Service fee	-	100
Gross profit	48,174	22,813
<u>Less: Other expenses</u>		
Accounting fees	2,350	1,950
Bank charges	4,969	50
General expenses	-	257
Professional fees	-	3,496
Pre-incorporation fees	-	-
Secretariat fees	6,865	-
Suspense	22,638	-
	<u>36,822</u>	<u>5,753</u>
Profit/(Loss) before tax	11,352	17,060
Less: Income tax expenses	(482)	(725)
Profit/(Loss) after tax	<u>10,870</u>	<u>16,335</u>